Dollar investigates the problem of low-growth traps and the relationship between growth and institutional quality. He creates an Institutional Q uality Index by taking a simple average of three indicators from the Worldwide Governance Indicators, each of which has a mean of zero and standard deviation of 1.0.[32] The three indicators are as follows:

- **The Rule of Law Index** "captures perceptions of the extent to which agents have confidence in and abide by the rules of society, and in particular the quality of contract enforcement, property rights, the police, and the courts, as well as the likelihood of crime and violence."
- **Control of corruption** "captures perceptions of the extent to which public power is exercised for private gain, including both petty and grand forms of corruption, as well as 'capture' of the state by elites and private interests."
- **Government effectiveness** "captures perceptions of the quality of public services, the quality of the civil service and the degree of its independence from political pressures, the quality of policy formulation and implementation, and the credibility of the government's commitment to such policies."

The Institutional Quality Index is highly correlated with growth rates in 1990–2010, while economic institutions are persistent. Focusing on the quality of institutions relative to the level of development, Dollar's main contribution underscores that countries that have good institutions for their level of development tend to grow faster than other developing countries, particularly at low levels of development. But if the intuitions do not keep up as income levels rise, as with China after the 1990s and 2000s, then growth slows significantly.[33] The best remedy, then, is for countries to strengthen the property rights and rule of law that provide the foundation for improving government effectiveness.

Figure 5.1 reconstructs Dollar's Institutional Quality Index and uses the log GDP per capita for 170 countries to determine the BRICS' institutional positions in 2015. As is evident from the graph, only India is located above the regression line. China falls just below, while Brazil is farther down and Russia is significantly out of sync with the institutions needed for it to restore growth and rise into the upper-income level.